CONFIDENTIAL INTERNAL COMMUNICATION
LAST UPDATED: JUNE 2019

POLICY NUMBER: FP-OPSFIN-145

Barter Agreements

The purpose of this policy is to provide guidance regarding the treatment of Barter Agreements.

POLICY STATEMENT

This policy provides guidance for agreements where goods and services are exchanged in lieu of cash payment.

APPLICABILITY

All Owned & Operated Hotels (including Shared Service Centers supporting these hotels).

EXCLUSIONS/EXCEPTIONS

No exclusions.

A. BARTER AGREEMENT EXECUTION & APPROVAL

The assessed cost of goods or services being exchanged must be at fair market value. Further, the goods or services being exchanged must have an equivalent value to each other (i.e., must be a one for one exchange in terms of value).

Barter Agreements may only be entered into after obtaining the necessary approvals in accordance with the Hotel Operations Approval Matrix in FP-OPSFIN-146. The total gross economic value of the goods or services being exchanged should be the amount used to determine the appropriate approval level(s) needed per policy.

A Hotel may only exchange sleeping rooms for Media, Advertising Production, Direct Marketing, or Travel Related Services. For barter benefits received outside of the prior mentioned items, the AVP of Operations (or equivalent) and the Regional Finance Director (or equivalent) must approve the agreement in writing (electronic approval is acceptable).

The barter benefits given by the Hotel should only include sleeping rooms. If food, beverage, or other goods/services are to be included in the barter agreement, approval is required by the AVP of Operations (or equivalent) and the Regional Finance Director (or equivalent) in writing (electronic approval is acceptable).

All Barter Agreements must be evidenced by a written agreement (Hilton standard agreement unless approved otherwise by Legal) setting out the exact terms of exchange, which should include:

- Name of each party
- Precise details of each party's obligations and volume/value of goods/services
- The dates the goods or services are to be received and given by the parties
- Expiration date of the agreement
- Signatures and dates of both parties. For the Hotel the General Manager must be the signatory.

B. ACCOUNTING FOR BARTER AGREEMENTS

Upon execution of the barter agreement, the fair market value of the transaction as defined in the contract must be booked to the Balance Sheet prior to month-end close in the following manner:

Dr Barter Agreements - Assets (what the other party owes the Hotel)
Cr Barter Agreements - Liabilities (what the Hotel owes the other party)

As the Hotel utilizes any or all of the goods or services, the following entry must be made:

Dr Expense
Cr Barter Agreements - Assets

As the other party utilizes any or all its entitlement:

Dr Barter Agreements - Liabilities
Cr Revenue

Appropriate sales tax liabilities and invoicing procedures must be complied with during consumption of goods and services.

DEFINITIONS

TERM/ACRONYM	DEFINITION
AVP of Operations	Regional Team Member responsible for the Operations functions of a set of Hotels. Property General Manager has a direct reporting relationship to this individual.
Regional Finance Director	Regional Team Member responsible for the Accounting/Finance functions of a set of Hotels. Property Finance Leader has a direct or indirect reporting relationship to this individual.